CORPORATE POLICY REVIEW REPORT

Employee Code of Conduct — Aditya Birla Capital Ltd.

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ACTIVITY TITLE: CORPORATE POLICY REVIEW REPORT

ORGANIZATION/COMPANY REVIEWED: ADITYA BIRLA CAPITAL LTD. (ABCL)

POLICY NAME: EMPLOYEE CODE OF CONDUCT

1. INTRODUCTION

1.1 ABOUT THE ORGANIZATION

Aditya Birla Capital Limited (ABCL) is a listed, systemically important non-deposit taking Non-Banking Financial Company (NBFC) and the holding company for the financial services businesses of the Aditya Birla Group. ABCL and its subsidiaries and joint ventures offer a comprehensive suite of financial solutions spanning loans, investments, insurance, and payments to customers across their financial lifecycle. The company operates at a very large scale, with over 63,750 employees, more than 1,712 branches, and over 200,000 agents and channel partners across India, supported by several banking partners.

1.2 INTRODUCTION TO THE SELECTED POLICY

The policy selected for this review is ABCL's Employee Code of Conduct, a foundational internal governance document that sets out the standards of ethical and professional behaviour expected of every employee, director, and associated party across the organization. The Code is rooted in the Aditya Birla Group's core values of Integrity, Commitment, Passion, Seamlessness, and Speed, which are described as the foundation for all actions and decisions taken by the Group's people, and is reinforced through a set of related sub-policies covering whistleblowing, anti-bribery and anti-corruption, and insider trading.

1.3 PURPOSE OF THE REVIEW

The purpose of this review is to understand the objectives, scope, and key provisions of ABCL's Employee Code of Conduct, to examine how it supports legal and regulatory compliance and internal governance, and to critically evaluate its strengths and limitations. Given that ABCL operates as a systemically important, publicly listed financial institution serving millions of retail customers, this review also assesses how effectively the Code of Conduct manages risk, protects stakeholders, and reinforces an ethical organizational culture.

2. POLICY OVERVIEW

2.1 NAME AND NATURE OF THE POLICY

The policy under review is the Employee Code of Conduct, issued at the Aditya Birla Financial Services Group (ABFSG) level and adopted across ABCL and its group entities. It is a behavioural and ethical governance policy, rather than a purely procedural or transactional one, and forms part of a broader family of documents including the Group's Corporate Principles and Code of Conduct, the Whistleblower Policy, and the Anti-Bribery and Anti-Corruption (ABAC) Policy.

2.2 SCOPE OF THE POLICY

The Code of Conduct applies to all employees of ABCL and its subsidiaries and joint ventures across its Loans, Investments, Insurance, and Payments businesses. Its scope extends beyond permanent payroll employees to include directors, trainees, contractors, and any third party who has been granted access to the organization's information systems or who is otherwise affiliated with ABCL's business operations, reflecting the wide distribution network of branches and agent/channel partners through which the company operates.

2.3 EMPLOYEES AND STAKEHOLDERS COVERED

- All employees, across every level of seniority, from entry-level staff to senior management
- Directors and Key Managerial Personnel, who are additionally governed by a specific Code of Conduct on insider trading
- Trainees, contractors, and third parties granted access to company systems or information
- Indirectly, customers and business partners, who benefit from the ethical standards the Code enforces

2.4 KEY OBJECTIVES OF THE POLICY

- To set clear standards for the organization and for individual employee conduct

- To guide ethical and professional behaviour in dealings with customers, colleagues, and society at large
- To protect the company's reputation and the trust placed in it by stakeholders
- To prevent conflicts of interest, fraud, bribery, and other unethical practices
- To build a transparent, non-retaliatory culture of reporting through a formal whistleblower mechanism

3. KEY PROVISIONS OF THE POLICY

3.1 WORKPLACE CONDUCT

Employees are expected to maintain high standards of professional behaviour, coordinate properly with all departments "in letter and spirit," and take personal responsibility for staying updated on the rules, regulations, and information relevant to their role. The Code frames ethical conduct as a shared commitment to the organization's customers, colleagues, and the wider community, not merely a set of restrictions.

3.2 CONFLICT OF INTEREST

The Code and its related Anti-Bribery and Anti-Corruption Policy place clear restrictions on employees providing gifts or entertainment to customers, prospects, or government officials beyond what is permitted, and require any personal political contribution made by an employee to be clearly separated from any implication that it is made on the company's behalf. Employees are also directed to follow the Group's defined guidelines on personal share trading, obtainable from their Unit HR department, to avoid conflicts with insider trading regulations.

3.3 HARASSMENT AND WORKPLACE BEHAVIOUR

The Group's Corporate Principles, which underpin the Code of Conduct, explicitly state a commitment to respecting the individual rights and dignity of all people and to fostering employee development in a fair, equitable, and transparent manner. Employees are expected to help create and support a conducive working environment for their colleagues, consistent with these principles.

3.4 CONFIDENTIALITY AND INFORMATION SECURITY

The Code restricts the transmission of copyrighted material belonging to third parties through company email, internet, or intranet systems without proper authorization, and prohibits the use of any unauthorized email service, instant messenger, or communication tool for official company communication. Notably, this requirement extends to personal computing devices, such as smartphones and tablets, whenever they are used to access the company's information systems, reflecting a modern approach to data and confidentiality protection.

3.5 DISCIPLINARY PROCEDURES

Violations of the Code of Conduct, the Anti-Bribery and Anti-Corruption Policy, or related policies can result in disciplinary action ranging from a formal reprimand to dismissal from employment, or termination of a contractual agreement, depending on the severity of the breach. The policy documents explicitly state that failure to comply will not be tolerated, underscoring the seriousness with which violations are treated.

3.6 REPORTING AND WHISTLEBLOWER MECHANISM

Employees and directors are actively encouraged to report unethical behaviour, malpractice, fraud, or violations of company policy or law, without fear of retaliation. Reports can be escalated depending on seniority: complaints against the MD/CEO, Unit CEO level, or their direct reports are addressed by the Business-level Whistleblower Committee (BWBC), while other complaints may be directed to the HR Head, Legal Head, the Market Conduct team, or the Risk team, with the Employee Relations Head acting as secretary. Employees can also log in to the company website to lodge a complaint directly under the Whistleblower Policy section.

3.7 FORMAL COMMITMENT TO THE CODE

Every employee of ABCL is required to formally commit to the Code of Conduct at the time of joining and again at periodic intervals throughout their employment, by signing a copy of the Code, which is then retained in their personal employee file. This formal, repeated

acknowledgment is intended to keep the Code's standards active in employees' minds rather than treating it as a one-time formality.

4. COMPLIANCE AND GOVERNANCE ANALYSIS

4.1 RELEVANT LAWS, REGULATIONS, AND STANDARDS

- Reserve Bank of India (RBI) regulatory framework applicable to systemically important NBFCs, given ABCL's classification
- Securities and Exchange Board of India (SEBI) (Prohibition of Insider Trading) Regulations, 2015, applicable to Directors and Key Managerial Personnel
- The Companies Act, 2013, particularly the provisions on the vigil mechanism and whistleblower protection for listed companies
- SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, which govern corporate governance disclosures for listed entities such as ABCL

4.2 HOW THE POLICY SUPPORTS LEGAL AND REGULATORY COMPLIANCE

ABCL maintains a separate, dedicated Code of Conduct for its Board of Directors and Senior Management specifically addressing insider trading, in direct compliance with SEBI's insider trading regulations, and designates its Company Secretary as the Compliance Officer responsible for this Code. The Whistleblower Policy operationalizes the vigil mechanism required under the Companies Act, 2013 for listed companies, giving employees a structured, protected route to report suspected violations of law or the Code of Conduct.

4.3 GOVERNANCE MECHANISMS ASSOCIATED WITH THE POLICY

The Code of Conduct is supported by a multi-tier governance structure. Senior-level complaints are directed to a Corporate Panel at the Chairman's Office, while other complaints are handled by the Business-level Whistleblower Committee, composed of the HR Head, Legal Head, the

Market Conduct team, and the Risk team, with the Employee Relations Head serving as secretary. The policy documents are subject to periodic review and modification, and the Whistleblower Committee's jurisdiction is bound by a defined time limit, restricted to violations alleged to have occurred within one year of the complaint being received, which is intended to keep the governance process timely and manageable.

5. POLICY EVALUATION

5.1 STRENGTHS OF THE POLICY

- Rooted in clearly articulated Group Values (Integrity, Commitment, Passion, Seamlessness, Speed), giving the Code a consistent ethical foundation across all Aditya Birla Group entities

- A well-structured, protected whistleblower mechanism offering multiple reporting channels, including committees, senior HR and Legal contacts, and an online portal, with an explicit non-retaliation assurance

- Coverage extends beyond payroll employees to trainees, contractors, and third parties, widening organizational accountability

- Clearly stated disciplinary consequences, up to and including dismissal or termination, reinforce that the Code is actively enforced rather than symbolic

5.2 EFFECTIVENESS AND PRACTICALITY OF IMPLEMENTATION

The requirement that employees formally sign and re-commit to the Code of Conduct at joining and at periodic intervals is a practical mechanism that embeds awareness at regular touchpoints rather than relying on a single onboarding formality. The existence of detailed, specialised sub-policies, such as the Anti-Bribery and Anti-Corruption Policy, the Whistleblower Policy, and the Insider Trading Code, indicates that the broad principles of the Code of Conduct have been translated into specific, operational guidance for different areas of ethical risk, which strengthens practical implementation.

5.3 GAPS, LIMITATIONS, AND AREAS FOR IMPROVEMENT

- Public documentation of the core Employee Code of Conduct itself is comparatively limited next to related policies such as the Whistleblower and ABAC policies, making external verification and stakeholder transparency more difficult

- The one-year jurisdictional time limit applied to the Business-level Whistleblower Committee may exclude legitimate complaints about violations that come to light after that period

- No externally published metrics, such as the number of complaints received, resolved, or the average resolution time, are readily available in the public domain to independently assess the Code's real-world effectiveness

5.4 COMPARISON WITH GOOD CORPORATE PRACTICE

ABCL's approach, featuring a dedicated whistleblower committee, a formal non-retaliation clause, and role-based escalation routes, is broadly consistent with the vigil mechanism requirements under the Companies Act, 2013 and with governance expectations under SEBI's Listing Obligations and Disclosure Requirements. However, several listed companies that are regarded as global governance benchmarks go a step further by publishing whistleblower case statistics and outcomes in their annual reports or Business Responsibility and Sustainability Reports (BRSR), an area of disclosure where ABCL's public documentation could be strengthened.

6. BUSINESS RELEVANCE

6.1 IMPORTANCE IN MODERN BUSINESS

For a systemically important financial conglomerate handling loans, investments, insurance, and payments for millions of customers, a strong and consistently enforced Code of Conduct is essential to preserving public trust, protecting the company's regulatory standing, and safeguarding its brand and reputation in a highly regulated, trust-sensitive industry.

6.2 IMPACT ON EMPLOYEES, CUSTOMERS, AND STAKEHOLDERS

- Employees: The Code sets clear behavioural expectations, protects staff who report wrongdoing in good faith, and provides practical guidance on handling conflicts of interest, such as gifts or personal share trading

- Customers: Reduces the risk of fraud, mis-selling, or unethical conduct in customer-facing roles across ABCL's extensive network of more than 1,700 branches and over 200,000 agents and channel partners

- Stakeholders and Investors: A robust Code of Conduct, backed by governance mechanisms, supports investor confidence in a listed company operating in the financial services sector

6.3 CONTRIBUTION TO RISK MANAGEMENT, ETHICS, COMPLIANCE, AND GOVERNANCE

The Code of Conduct functions as a frontline defence against reputational, legal, and financial risk by embedding an ethical culture throughout the organization. It directly supports compliance with RBI's regulatory expectations for NBFCs, SEBI's insider trading and listing regulations, and the Companies Act's vigil mechanism requirements, while its associated committees and reporting structures strengthen the overall corporate governance framework of ABCL.

7. RECOMMENDATIONS

- Publish more detailed, plain-language summaries of the core Employee Code of Conduct for external stakeholders, matching the level of public disclosure already given to the Whistleblower and Anti-Bribery and Anti-Corruption policies

- Introduce periodic, mandatory e-learning modules and short assessments alongside the signature-based commitment process, to strengthen genuine employee understanding rather than formal acknowledgment alone

- Publish anonymized whistleblower and code-violation statistics annually, such as the number of complaints received, resolved, and disciplinary actions taken, to build stakeholder trust and demonstrate accountability

- Reconsider, or more clearly justify and publicise, the one-year jurisdictional time limit on the Business-level Whistleblower Committee, or provide a clear alternate escalation route for older but valid complaints

- Strengthen ongoing monitoring through periodic internal audits of Code compliance across ABCL's large branch and agent network, given the scale and geographic spread of its distribution channels

8. CONCLUSION

8.1 OVERALL ASSESSMENT AND KEY LEARNINGS

ABCL's Employee Code of Conduct, reinforced by dedicated sub-policies such as the Whistleblower Policy, the Anti-Bribery and Anti-Corruption Policy, and the Insider Trading Code for Directors and Senior Management, provides a reasonably comprehensive and well-governed ethical framework appropriate for a large, regulated financial services conglomerate. This review demonstrates that an effective Code of Conduct works best when paired with clear, accessible reporting channels, explicit non-retaliation protection, and real, stated disciplinary consequences, all of which are present in ABCL's framework; however, greater public transparency in reporting actual enforcement outcomes remains a meaningful area for improvement.

More broadly, this review highlights that a well-designed corporate Code of Conduct is not merely a compliance formality but a practical, operational tool for protecting employees, customers, and the organization's reputation, and for embedding ethical decision-making into everyday business operations across a company's entire scale and reach.

9. REFERENCES

- Aditya Birla Capital Limited, Whistleblower Policy, available at: www.adityabirlacapital.com

- Aditya Birla Capital Limited, Anti-Bribery and Anti-Corruption (ABAC) Policy, available at: www.adityabirlacapital.com
- Aditya Birla Capital Limited, Code of Conduct for Board of Directors and Senior Management Personnel (Insider Trading), available at: www.adityabirlacapital.com
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- Aditya Birla Group, Corporate Principles and Code of Conduct, available at: www.grasim.com
- Aditya Birla Capital Limited, "Policies and Codes," Investor Relations page, available at: www.adityabirlacapital.com